out, I believe it will give the poor the choice and respect as well as the services they had to beg for in the past. It can break a link between poor public service, patronage, and corruption that is growing more worrisome over time.

Undoubtedly, cash transfers will not resolve every problem, nor are they uncontroversial. A constant refrain from paternalistic social workers is that the poor will simply drink away any transfers. In fact, studies by NGOs like Self Employed Women's Association indicate this is not true. Moreover, one could experiment with sending transfers to women, who may be better spenders. Some argue that attaching conditions to cash transfers – for example, they will be made provided the recipient's children attend school regularly – may improve the usage of the cash. The danger of attaching conditionality is that if the monitor is corrupt or inefficient, the whole process of direct benefits transfers can be vitiated. Nevertheless, it will be useful to monitor usage carefully where automation is possible, and automatically attach further benefits to responsible usage.

A related concern is whether cash transfers will become addictive – whether they become millstones keeping the poor in poverty rather than stepping stones out of it. This is an important concern. Cash transfers work best when they build capabilities through education and health care, thus expanding opportunity, rather than when they are used solely for inessential consumption. The vast majority amongst the poor will seize opportunities, especially for their children, with both hands. Nevertheless, if there is evidence that cash transfers are being misspent – and we should let data rather than preconceived notions drive policy – some portion could be given in the form of electronic coupons that can be spent by the specified recipient only on food, education or health care. Eventually, we will have to find a way to wean those who start earning significant amounts from receiving